

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT.

**COMPLAINANT PELTON INTERACTIVE, INC.’S
CROSS-MOTION TO STRIKE OR, IN THE ALTERNATIVE, OPPOSITION TO
RESPONDENT’S MOTION FOR JUDGMENT ON THE PLEADINGS**

Complainant Peloton Interactive, Inc. (“Peloton” or “Complainant”) moves pursuant to Federal Maritime Commission (“FMC” or “Commission”) Rules of Practice and Procedure 46 C.F.R. §§ 69(a) and 69(d) to strike Respondent Flexport International LLC’s (“Flexport” or “Respondent”) Motion for Judgment on the Pleadings (“Motion for Judgment”) on the basis that it is inconsistent with the orders in this proceeding and Commission regulations. In the alternative, if the Motion for Judgment is permitted, Peloton submits this memorandum of law in opposition and requests that Flexport’s motion be denied.

PRELIMINARY STATEMENT

On the afternoon of November 27, 2024, the day before Thanksgiving and before any discovery has taken place in this proceeding, Flexport filed a Motion for Judgment. Flexport filed

this motion notwithstanding that the Presiding Officer's November 8, 2024 scheduling order ("Scheduling Order") contemplates numerous fact and expert discovery-related work and deadlines, including exchange of document productions, depositions, and expert reports. Flexport's disregard of the Scheduling Order is pure gamesmanship designed to distract the Commission and Peloton, in a proceeding where there are undoubtedly numerous disputed issues of material fact. Worse still, it imposes an unnecessary burden on the Presiding Officer to address a repetitive motion re-hashing arguments previously addressed through the FMC's denial of Flexport's Motion to Dismiss, which already significantly delayed the commencement of discovery earlier this year.

The Presiding Officer is not required to substantively address Flexport's arguments yet again. By granting Peloton's cross-motion to strike, the Presiding Officer can dispose of Flexport's improper motion without re-addressing its duplicative arguments. This is an appropriate remedy for Flexport's use of frivolous motion practice in its continued efforts to derail this proceeding.

In the alternative, if the Presiding Officer is inclined to entertain Flexport's Motion for Judgment, Peloton opposes the motion on the basis that Peloton is entitled to necessary, relevant fact and expert discovery to fully develop and present its claims, as contemplated by the Scheduling Order. A complete record of Flexport's practices must be allowed to be developed through targeted fact and expert discovery, and assessed in an initial decision by the Presiding Officer based on that record. On that basis and others set forth below, Flexport's motion should be denied.

PROCEDURAL BACKGROUND

On May 8, 2024, Peloton filed a verified complaint with the Commission, alleging that Flexport failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton merchandise, in violation of multiple sections of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.*, as amended (the “Shipping Act”). On June 17, 2024, Flexport filed a motion to dismiss (“Motion to Dismiss”) arguing, among other things, that Peloton’s complaint failed to allege sufficient facts in support of its claims. Doc. No. 10. On September 25, 2024, the Presiding Officer deferred ruling on Flexport’s motion and directed Peloton to provide further details concerning its allegations in an amended complaint such that, once included, Flexport’s motion would then be denied as moot. Order Deferring Motion to Dismiss, Doc. No. 13. Peloton filed its verified amended complaint (“Amended Complaint”) on October 2, 2024, addressing the issues raised in the Order Deferring Motion to Dismiss and including a list of the over \$30 million in demurrage and detention charges issued to Peloton that Peloton was wrongfully forced to pay.

On October 24, 2024, the Presiding Officer denied Flexport’s Motion to Dismiss and required Flexport to file an Answer by October 29, 2024. Order Denying Motion to Dismiss, Doc. No. 15. The Order further required that the parties submit a Joint Status Report by November 6, 2024, “including a proposed discovery schedule that allows for the Initial Decision to issue by May 8, 2025.” *Id.* at 1.

Flexport filed its Answer on October 29, 2024. Doc. No 16. The parties subsequently met and conferred regarding a proposed schedule for discovery and dispositive briefing, and filed a Joint Status Report and Proposed Discovery Schedule on November 6, 2024. Doc. No. 17. The jointly-proposed schedule did not provide for Flexport filing a further pre-discovery dispositive

motion, nor did Flexport state an intent to file such a motion in its Joint Status Report section, or in any discussions with Peloton or the Commission.¹

On November 8, 2024, the Presiding Officer issued the Scheduling Order requiring, among other things, completion of all document production by December 16, 2024, all expert discovery by February 7, 2025, and a briefing schedule commencing on March 7, 2025 and ending on April 18, 2025. Scheduling Order at 1-2, Doc. No. 19. The schedule did not contemplate any further pre-discovery dispositive motions, and further noted that Flexport's Motion to Dismiss had already resulted in "delay" in the proceeding. On November 13 and 14, 2024,² as required by the Scheduling Order, the parties exchanged initial disclosures and their first written discovery requests, including interrogatories and requests for production.

Disregarding the Scheduling Order and the parties' nascent discovery efforts, Flexport filed the instant Motion for Judgment on November 27, 2024. As of December 12, 2024, the parties have not yet received each other's document productions, written discovery responses or expert disclosures, or conducted any fact or expert witness depositions.

A. PELOTON'S CROSS-MOTION TO STRIKE FLEXPORT'S MOTION FOR JUDGMENT ON THE PLEADINGS

Flexport's Motion for Judgment is duplicative, repetitive, and should be stricken from the record for failing to comply with Commission Rules, which expressly provide that "a repetitious

¹ During an email exchange in late October following Flexport's filing in a concurrent proceeding of a motion for judgment on the pleadings after a denial of its motion to dismiss in that proceeding, Peloton put Flexport on notice that Peloton reserved the right to move to strike should Flexport file a similar motion in this proceeding. During the parties' meet and confer on the proposed discovery schedule, Flexport never raised the fact it was planning to file the motion, even though it knew the potential impact on discovery.

² On November 13, 2024, Peloton sent its initial disclosures to Flexport. In its email to Flexport, Peloton noted that Flexport's initial disclosures had not been provided when it served its initial written discovery requests earlier that day. On November 14, 2024, Flexport responded and provided its initial disclosures to Peloton.

motion will not be entertained.” 46 C.F.R. § 502.69(d). Flexport already filed a Motion to Dismiss in this proceeding. In denying that motion, the Presiding Officer determined that the Amended Complaint sufficiently addressed the issues raised in the Order Deferring Motion to Dismiss and directed that the case should move forward. The Scheduling Order established the procedural stages for this proceeding—stages which Flexport deliberately disregarded when it filed its Motion for Judgment before any discovery has taken place. The Scheduling Order did not contemplate reconsideration of Flexport’s Motion to Dismiss, nor any further pre-discovery dispositive motions.

Although couched in different procedural cloth, Flexport’s Motion for Judgment essentially repeats the same substantive arguments in its previously denied Motion to Dismiss. Its argument that alleged contract provisions defeat Shipping Act claims is merely a different presentation of the same argument already advanced and rejected in its Motion to Dismiss. Further, Flexport’s contention that the list of invoices and charges in Peloton’s Amended Complaint is still not detailed enough is in direct contravention of the Presiding Officer’s finding that Peloton had “address[ed] the issues raised” in her prior order. Order Denying the Motion to Dismiss, Doc. No. 15. It is a waste of the Commission’s and the parties’ time and resources to re-address arguments already presented and ruled on.

Further, while motions for judgment on the pleadings are not expressly provided for in Commission regulations, they are permissible only when they are consistent with sound administrative practice. It is not sound administrative practice to entertain a repetitious motion in contravention of the Scheduling Order before any discovery has taken place. Accordingly, Flexport’s Motion for Judgment should be stricken.

ARGUMENT

Three independent but related grounds exist for the Presiding Officer to strike Flexport's Motion for Judgment: (i) Flexport is flouting the Scheduling Order, in particular the parameters set forth for fact and expert discovery; (ii) Flexport's motion is repetitious and must not be entertained under Commission Rule 69(d); and (iii) Flexport's motion is not consistent with "sound administrative practice" under Commission Rule 12.

I. Respondent's Motion for Judgment is Inconsistent With the Scheduling Order in This Proceeding.

Following the denial of the Motion to Dismiss, the parties met and conferred to discuss a proposed discovery and briefing schedule for this proceeding. The parties discussed at length the timing constraints resulting from the Motion to Dismiss and subsequent Answer, a point noted by the Presiding Officer in the Scheduling Order. But in the Joint Status Report filed on November 6, 2024, Flexport did not propose filing a motion for reconsideration or any other pre-discovery dispositive motion, either in the proposed schedule submitted to the Presiding Officer, or in its separate section of the Joint Status Report.³ Taking into consideration the information and representations provided by each party in the Joint Status Report, the Presiding Officer noted the delays that had already resulted from the Motion to Dismiss, and issued a Scheduling Order with a tighter timeline than the parties had proposed, in order to meet the Commission's deadline to issue an Initial Decision within a year.

³ In its separate section of the Joint Status Report, Flexport claimed Peloton "threatened Flexport that if it filed a motion for judgment on the pleadings, Peloton would move to strike the same." Doc. No. 17 at 5. That reference clearly was not a request to have the Presiding Officer consider another pre-discovery dispositive motion in the schedule in this proceeding.

The Scheduling Order understandably made no allowance for additional dispositive motion practice. Scheduling Order at 1-2. It did, however, clearly contemplate that discovery was necessary and should be promptly commenced in this proceeding. Moreover, it reiterated the importance of adhering to the schedule and the Presiding Officer's authority to control the docket:

“[A] scheduling order ‘is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.’” *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)).

...
The authority of courts to control their dockets is well settled. *Link v. Wabash Railroad Co.*, 370 U.S. 626, 630-31 (1962); *United States v. Hughey*, 147 F.3d 423, 429 (5th Cir. 1998).”

Scheduling Order at 2. Whether Flexport intended to file the Motion for Judgment at the time of the Joint Status Report, but decided to omit raising it with Peloton counsel or the Presiding Officer at the time, or chose to disregard the Scheduling Order later, Flexport “cavalierly disregarded” the Scheduling Order when it filed the Motion for Judgment three weeks later on the eve of Thanksgiving, in the midst of an aggressive discovery schedule. *Id.* The Presiding Officer, with full control over the docket in this proceeding, has the authority to dispense with unscheduled motion practice and strike the Motion for Judgment from the record so that the parties can proceed with relevant, targeted discovery. *Id.*

II. Respondent's Motion for Judgment on the Pleadings is Repetitious of the Motion to Dismiss Which Was Denied.

Commission Rule 69(d) provides that a “repetitious motion will not be entertained.” 46 C.F.R. § 502.69(d). “‘When a request for relief has been determined to be repetitious, Rule 69(d) provides that it will not be entertained. The Commission has generally declined to entertain repetitious requests for relief.’” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2013 FMC LEXIS 6, at *11-12 (FMC Jan. 31, 2013) (citing *Green Master Int'l Freight*

Services Ltd. -- Possible Violations of the Act, 29 S.R.R. 1319, 1322 (FMC 2003) and *Holt Cargo Systems, Inc. v. Delaware River Port Auth.*, 28 S.R.R. 1268, 1272 (ALJ 1999)).” *Nnabugwu Chinedu Andrew, Avers Logistics Ltd., and CJ Deluz Nigeria Ltd. v. Marine Transport Logistics, Inc.*, Dkt. No. 20-12, 2021 WL 3488331 (ALJ Aug. 3, 2021). When declining to consider a motion as repetitious, the Presiding Officer has the power to strike the motion from the record.⁴

Flexport’s Motion for Judgment should also be struck as repetitious of its Motion to Dismiss that has already been considered and denied in this proceeding. The Presiding Officer and parties are working under an extremely compressed schedule which allows only 150 days for completion of discovery and requires an initial decision to be rendered within one year. As the Presiding Officer noted in the Scheduling Order, Flexport’s Motion to Dismiss has already resulted in “delay” and compression of the schedule for discovery and briefing. While this Motion for Judgment did not delay Flexport’s filing of its Answer, it is plainly a drain on the time and resources of counsel and the Presiding Officer. Commission Rule 69(d) exists to prevent such time-wasting motions and should be applied here.

⁴ In correspondence with Respondent challenging the propriety of filing a repetitious motion, it raised a question as to the propriety of a motion to strike a non-pleading. Motions to strike have previously been filed with the Commission for a wide range of non-pleadings, including motions to strike a reply brief (*MSRF Inc. v. HMM Company Limited*, Dkt. No. 22-20, 2023 WL 4162681 (Jun. 12, 2023)), an expert report (*Samsung Electronics America, Inc. V. Zim Integrated Shipping Services Ltd.*, Dkt. No. 22-30, 2023 WL 6391707 (Sept. 26, 2023)), shipping documents submitted as evidence (*Ovchinnikov v. Hitrinov*, Dkt. No. 15-11 (Jun. 22, 2016)), a petition for attorney’s fees (*Logfret, Inc. v. Kirsha, B.V. et al*, Dkt. No. 18-10, 2019 WL 6317290 (Nov. 19, 2019)), a second motion to compel (*Maher Terminals, LLC v. The Port of New York and New Jersey*, Dkt. No. 12-02 (May 9, 2016)), and a response to a motion to dismiss (*Santa Fe Discount Cruise Parking, Inc. d/b/a EZ Cruise Parking, et al. v. The Board of Trustees of the Galveston Wharves et al.*, Dkt. No. 14-06, 2014 WL 7404584 (Nov. 21, 2014)). Commission precedent does not limit motions to strike to pleadings only.

Flexport's Motion for Judgment is repetitious because it simply rehashes arguments already raised and rejected in its Motion to Dismiss. For example, Flexport argued in its Motion to Dismiss that many of Peloton's claims are time-barred. Motion to Dismiss at 12-13. In its Motion for Judgment, Flexport again claims that it is entitled to prevail because "the vast majority of Peloton's claims are time-barred." Motion for Judgment at 6. Flexport also moved to dismiss for failure to plead sufficient facts—asserting that Peloton failed to identify shipments or charges at issue—and now argues that the list of invoices and charges in the Amended Complaint is not detailed enough. *Id.* at 5. But this argument was likewise rejected when the Presiding Officer denied Flexport's Motion to Dismiss and found that Peloton "address[ed]" the issues raised in its prior order deferring ruling, including pleading sufficiency. Order Denying Motion to Dismiss at 1. Flexport also previously sought to dismiss the complaint for lack of subject matter jurisdiction because alleged agreements between the Parties regarding detention and demurrage charges were "breach of contract claims." Motion to Dismiss at 10. In its Motion for Judgment, Flexport argues again that alleged agreements between the Parties required Peloton to pay detention and demurrage charges and should defeat the Shipping Act unreasonable practices claims. Motion for Judgment at 9-10. These arguments are needlessly repetitious and were already presented and decided on in the Commission's denial of Flexport's Motion to Dismiss.

III. The Motion for Judgment is Not Consistent With Sound Administrative Practice.

A motion for judgment on the pleadings is not expressly provided for in FMC regulations.⁵ While Rule 12 provides that the Commission will follow the Federal Rules of Civil Procedure for

⁵ Respondent argues that the reference to a motion for "decision on the pleadings" in 46 C.F.R. § 502.69(g) means a motion for judgment on the pleadings is "both contemplated and accepted" by FMC. Motion for Judgment at 4. This position is inconsistent with Commission precedent on similar motions referenced in 502.69(g), including motions to

situations not covered by Commission Rules, Rule 12 also includes the important qualifier “to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Here, given the tight timetable and the absence of discovery, entertaining Flexport’s Motion for Judgment when there are still numerous issues of disputed fact would not be consistent with sound administrative practice. As noted, since the original complaint was filed on May 8, 2024, Respondent has filed the Motion to Dismiss, which was denied; the parties conferred and proposed a discovery schedule in a Joint Status Report; and a Scheduling Order was issued that did not contemplate further pre-discovery dispositive motions. An additional, duplicative, pre-discovery dispositive motion does not serve a useful purpose and will only serve to cause further delay. Accordingly, the Motion for Judgment should be struck on this additional basis so that the parties can continue with the proceeding according to the Scheduling Order.

MEET AND CONFER CERTIFICATION

Peloton is aware that Flexport attempted a similar pre-discovery Motion for Judgment gambit following the disposition of a motion to dismiss in a concurrent dispute before the Commission. This led to an email exchange between counsel prior to the issuance of the Scheduling Order as to the propriety of such a motion, wherein Peloton reserved its right to move to strike if Flexport proceeded with filing. Subsequently, in connection with this cross-motion, Peloton sought Flexport’s agreement to withdraw the Motion for Judgment and requested a meet and confer on November 11 for the cross-motion aspect of the submission only as that is non-dispositive. While the parties exchanged emails on November 12, Flexport declined to hold a meet

dismiss, which Commission precedent is clear are not contemplated in Commission regulations. *See OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2022 WL 4017209, at *2 (ALJ Aug. 31, 2022).

and confer claiming by email that there was no good faith basis for the motion and no good faith effort to confer on the motion.

B. IF THE PRESIDING OFFICER DOES ENTERTAIN FLEXPORT'S MOTION FOR JUDGMENT, IT SHOULD BE DENIED

Peloton has alleged in its Amended Complaint that Flexport's practices in assessing detention and demurrage were unjust, unreasonable, and in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.*, as amended. The Amended Complaint has already survived Flexport's Motion to Dismiss, yet Flexport is again asking the Presiding Officer to dismiss Peloton's claims, this time under the guise of a motion for judgment on the pleadings.

In the event that the Presiding Officer is inclined to entertain Flexport's Motion for Judgment, it fails for numerous reasons. There are multiple issues of material fact that remain in dispute requiring relevant, targeted fact and expert discovery, including facts related to the date of accrual for various claims; facts related to Flexport's performance of its obligations and its responsibility for detention and demurrage charges that accrued; and facts regarding the reasonableness (and lack thereof) of Flexport's practices. Discovery is now well underway with the exchanges of document requests, interrogatories, and document productions. Flexport has utterly failed to demonstrate that there are undisputed facts that would entitle it to judgment as a matter of law at this stage. To the contrary, its motion highlights numerous issues of disputed fact that require targeted discovery to investigate. Accordingly, if not struck for the reasons set forth above, Flexport's Motion for Judgment should be denied.

LEGAL STANDARD

The Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for judgment on the pleadings; however, Commission Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances not covered by the Commission's Rules to the

extent that application of the federal rules is “consistent with sound administrative practice.” 46 C.F.R. § 502.12. In the limited instances where the Commission has addressed a motion for judgment on the pleadings, the Commission has confirmed:

“Motions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review under these motions “is essentially the same.” See *Schuchart v. La Taberna Del Alabardero, Inc.*, 365 F.3d 33, 35 (D.C. Cir. 2004); see also *Samuels v. Safeway, Inc.*, 391 F. Supp. 3d 1, 2 (D.D.C. 2019).

On either motion, fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor. *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 555 (2007). Although a fact finder “generally may not rely on facts ‘outside’ the pleadings in deciding [either] motion, . . . it may consider matters incorporated by reference or integral to the claim, items subject to judicial notice, and matters of public record.” *United States v. All Assets Held at Bank Julius Baer & Co.*, 772 F. Supp. 2d 191, 197 (D.D.C. 2011) (internal citations and alterations omitted).”

Ovchinnikov v. Hitrinov, Dkt. No. 15-11, 2023 WL 1963462, at *5-6 (FMC Feb. 8, 2023) (Order Affirming the Initial Decision on Different Grounds). The Commission can only grant the Motion for Judgment if there are no undisputed facts and there are no facts that, if proved, would provide a basis for recovery. *Marie Carew d/b/a holiday Shipping v. Maersk Line A/S*, John Does, Dkt. No. 20-17, 2021 WL 1400176 (ALJ April 8, 2021).

ARGUMENT

I. The Motion for Judgment Must Fail Because There Are Multiple Issues of Material Fact.

A judgment on the pleadings is only appropriate when there are no material issues of fact in dispute. “A Court will grant judgment on the pleadings only if it is clear that no relief could be granted under any set of facts that could be proved consistent with the allegations. If there are allegations in the complaint which, if proved, would provide a basis for recovery, the Court cannot

grant judgment on the pleadings. Accordingly, all factual doubts must be resolved in favor of the plaintiff.” *Marie Carew d/b/a holiday Shipping v. Maersk Line A/S*, John Does, Dkt. No. 20-17, 2021 WL 1400176, at *2 (ALJ April 8, 2021) (Order Denying Motion for Judgment on the Pleadings) (citations and quotation marks omitted). Because numerous issues of material fact exist requiring fact and expert discovery on relevant issues, Flexport’s Motion for Judgment should be denied.

a. Flexport’s Performance of its Obligations Under the Shipping Act.

Peloton’s Amended Complaint alleges that Flexport held itself out to be a non-vessel operating common carrier (“NVOCC”), licensed by the FMC, responsible for the transportation of Peloton’s containers in compliance with the Shipping Act. Amended Compl. at ¶¶ 10, 14-17. The Amended Complaint further alleges Flexport failed to properly perform its transportation obligations and that its detention and demurrage assessment practices were unjust and unreasonable in violation of the Shipping Act. *Id.* at ¶¶ 26-29, 49. The allegations include, but are not limited to, that Flexport unreasonably assessed detention and demurrage charges on Peloton when Flexport was responsible for pickup from the port, movement of the cargo to an inland location, and arranging the return of the empty container; that Flexport assessed unreasonable detention and demurrage charges without a meaningful procedure to determine if it was responsible for the charges; and that Flexport failed to extend free time or mitigate, waive, or reduce detention and demurrage charges that were not Peloton’s responsibility. *Id.* at ¶¶ 49(b), (d), (g). As set forth in its Answer, Flexport disputes these allegations, and developing a full record on them will require completion of fact and expert discovery on the relevant issues.

Notwithstanding that the Amended Complaint argues—and Flexport’s Answer disputes—that numerous Flexport practices violated the Shipping Act, Flexport now contends no

disputed facts remain and it is entitled to judgment as a matter of law because it was not responsible for any detention and demurrage charges. The sole basis for Flexport disclaiming responsibility is that it claims Peloton's containers were all moved as CY shipments. Motion for Judgment at 7. However, Flexport has not established that all Peloton containers were moved as CY shipments (which they were not). Even if Flexport was correct, its position that as a common carrier it has no responsibility for detention or demurrage on CY shipments is wrong. According to Flexport:

“Peloton does not understand that, as the shipper and/or consignee for the cargo, it is Peloton that is responsible for the D&D charges. Peloton's vague assertion to the contrary is both unsupported and contrary to **centuries of maritime jurisprudence.**”⁶

Motion for Judgment at 7 (emphasis added). Flexport claims “centuries of maritime jurisprudence” establishes that, as a common carrier, it has no responsibility for detention or demurrage that accrues on a CY move –but does not cite a single authority in support. Indeed, Flexport's suggestion would be in direct contravention of the Commission's Interpretive Rule on Demurrage and Detention Under the Shipping Act (“Interpretive Rule”), which provides guidance on how the Commission assesses alleged unreasonable demurrage and detention practices on containers moved on CY bills of lading. 85 Fed. Reg. 29638 (May 18, 2020). It is unclear what “centuries of maritime jurisprudence” Flexport is alluding to, but it is clearly not the jurisprudence governing U.S. shipping and general maritime law. *See In re Free Time and Demurrage Practices on Inbound Cargo at New York Harbor*, 9 S.R.R. 860, 864 (1967) (holding that even after free time has expired, charging demurrage when a consignee cannot remove the cargo from the port on a CY move for reasons beyond its control is unjust and unreasonable); *Hapag-Lloyd, A.G. and*

⁶ Peloton notes this is not the first time that Flexport has made this erroneous statement nearly verbatim. *See* Motion to Dismiss, Doc. No. 10 at 9.

Hapag-Lloyd (America) LLC. Possible Violations of 46 U.S.C. § 41102(c), Dkt. No. 21-09 (ALJ Apr. 22, 2022) (investigation into carrier that failed to offer return locations for empty containers but charged detention after free time on CY moves); *One Banana North America Corp. v. Hapag-Lloyd AG and Hapag-Lloyd (America) LLC*, Dkt. No. 22-03, 2022 WL 522366 (Feb. 17, 2022) (Amended Verified Complaint) (allegation that carrier failed to provide return locations and required dual transactions on CY moves, unreasonable practices which resulted in detention and demurrage charges accruing); *Impact Products, LLC and Safety Zone, LLC v. Overseas Container Line Limited and OOCL (Europe) Limited*, Dkt. No. 24-08 (Amended Complaint 5/17/2024) (allegations that consignee was required to pay detention and demurrage charges at times when circumstances beyond its control prevented it from picking up loaded containers and returning empty containers); *Fact Finding Investigation No. 28 – Final Report: Conditions and Practices Relating to Detention, Demurrage, and Free Time in International Oceanborne Commerce*, Federal Maritime Commission, pg. 27 (Dec. 3, 2018) (Commission investigation into detention and demurrage practices, discussing the obligation of a carrier to tender cargo for delivery in a CY move prior to it being permissible to charge demurrage).

To suggest that the existence of a CY move automatically removes any responsibility for detention and demurrage charges from the common carrier is similarly in direct contravention of the Ocean Shipping Reform Act of 2022 (“OSRA 2022”). The text of sections 41104(d) and 41104(a)(15), as adopted by Congress, includes the requirement that every invoice include a statement that the common carrier’s performance did not cause or contribute to the underlying invoiced charges. 46 U.S.C. §§ 41104(a)(15) and (d). If the only determining factor for a shipper/consignee being responsible for detention or demurrage charges was whether or not the

shipment was a CY move, the requirement that common carriers certify their actions did not cause the charges to accrue would have no meaning.

Peloton has alleged that Flexport violated various provisions of the Shipping Act. Multiple issues of material fact related to Flexport's obligations, its performance, and the reasonableness of its practices exist which require both fact and expert discovery on relevant issues. Flexport's motion cannot succeed while these disputed facts remain.

b. Accrual Date of Peloton's Claims.

Among the many disputed facts in this proceeding, Flexport has argued that Peloton's claims on some number of charges are time-barred. Motion for Judgment at 5-6. Flexport concedes in its Motion for Judgment that Exhibit A to Peloton's Amended Complaint, which lists more than 3,200 invoices at issue in this proceeding, includes line-item details of (1) Flexport's Flex-ID; (2) Master bill of lading number; (3) Invoice number; (4) Invoice issue month and year; and (5) Total for demurrage and detention charges. *Id.* at 5. Nevertheless, Flexport complains that certain information is still lacking, such as "the day of issuance of the invoices," *id.*, and then inexplicably proceeds to assert based on its own color-coded version of the exhibit that two-thirds of the claims are time-barred. *Id.* at 6. However, determining the accrual date of these claims requires the completion of relevant discovery (including, for example, production of the invoices themselves).

First, as the Presiding Officer has already determined by denying Flexport's Motion to Dismiss, the Amended Complaint contains adequate information necessary to meet the pleading standard for a claim for reparations under 46 U.S.C. § 41102(c). Second, Flexport's argument is premised on fundamental disputes of fact, including the relevance of the invoice issuance date and the consequences of the terms of carriage of Peloton's goods. Third, the details and facts necessary

to evaluate claim accrual is a factual question that requires relevant, targeted discovery. Flexport itself complains that the “day” of the invoices is not reported, among other allegedly critical information such as the “(2) the house bill of lading number; (3) the container number; and (4) a breakdown of the charges...” *Id.* at 5. Without even addressing the fatal lack of evidence to support any of its color-coded designations, it is virtually impossible to determine how Flexport came up with the numbers cited in its Motion for Judgment—but suffice to say that the issue is contested and that Flexport’s color-coding does not determine the accrual date for any of the claims in this proceeding.

The FMC has adopted the discovery rule to assess when a claim has accrued. *See Inlet Fish Producers v. Sea-Land Service, Inc.*, Dkt. No. 00-03, 2001 WL 1632551 (FMC Sept. 19, 2001). Under the discovery rule, the Commission uses a flexible approach to accrual dates due to the Commission’s interest in the precedent established by its adjudication of alleged Shipping Act violations. *Id.* This is a complex case involving charges assessed on thousands of shipments, and Flexport’s unsupported, conclusory statements do not support or establish particular dates when Peloton’s claims accrued. There are multiple facts and documents outside of the pleadings that would bear on that determination, including but not limited to the relevant invoices themselves, their payment terms, and when the invoices were received and paid. It would be premature to attempt to determine the accrual date of the claims without first completing necessary and relevant fact discovery in this proceeding. There are significant material facts in dispute related to the accrual date of Peloton’s claims. Because any factual doubts must be resolved in Peloton’s favor, Flexport’s Motion for Judgment must be denied.

c. Flexport's Violations of the Shipping Act Cannot Be Avoided By the Terms of Select Agreements or Tariffs.

A central argument of Flexport's Motion for Judgment is that it has no responsibility for imposing detention and demurrage on Peloton, and is entitled to judgment as a matter of law, based on the existence of select transportation agreements between the parties. Motion for Judgment at 7-10. However, Peloton has alleged violations of the Shipping Act, not a breach of contract, and numerous disputed facts underlying those allegations remain. Further, Commission precedent is clear that common carriers such as Flexport cannot avoid liability for violations under the Shipping Act through the provisions of a private agreement.

Peloton's Amended Complaint seeks reparations based on Flexport's violations of the Shipping Act. Section 41102(c) creates a right of action for shippers to claim against common carriers, including NVOCCs, where those common carriers have failed to establish, observe, and enforce just and reasonable practices relating to the receiving, handling, storing, and delivering property. 46 U.S.C. § 41102(c). The FMC established required elements for a successful claim for reparations in 46 C.F.R. § 545.4, but then went further and adopted the Interpretive Rule to specifically explain how it would interpret violations of 46 U.S.C. § 41102(c) and § 545.4 in the context of detention and demurrage. 46 C.F.R. § 545.5.

As previously set forth in its opposition to Flexport's Motion to Dismiss, Peloton can and has alleged violations of the Shipping Act that exist independently from any private contractual agreement that may exist between the Parties. Opposition to Motion to Dismiss, Doc. No. 11, at 9. In its Motion for Judgment, as in its Motion to Dismiss, Flexport attempts to recast Peloton's Shipping Act claims as contract claims, which it argues entitle it to judgment as a matter of law. Flexport's version of the facts in its Motion for Judgment, many of which are disputed, does not

alter the nature of Peloton's allegations. Peloton's Shipping Act claims have already survived Flexport's Motion to Dismiss and must survive its Motion for Judgment for the same reasons.

In its Motion for Judgment, Flexport has not provided any evidence to show its practices were reasonable and not in violation of the Shipping Act, or that it was not the cause of the detention and demurrage charges imposed on Peloton. Instead, Flexport points to the provisions of select unproduced agreements⁷ and its tariffs⁸ (also unproduced), and claims that these provisions both insulate it from liability and entitle it to judgment as matter of law. Motion for Judgment at 7-10. Flexport's arguments do not alter the fact that Peloton has alleged that Flexport's practices violated the Shipping Act, not that it breached a contract. There are numerous disputed facts in relation to Flexport's performance and the unreasonableness of its charges.

The Motion for Judgment's reliance on the terms of individual agreements and tariffs also fails when considered in the context of FMC policy and precedent. Citing to FMC case law and the commentary in the Final Interpretive Rule, a recent ALJ decision held:

The Commission can adjudicate allegations that contract terms are violative of the Shipping Act. See Final Rule: Interpretive Rule on Demurrage and Detention, Docket No. 19-05, 85 Fed. Reg. 29638 at 29648 (May 18, 2020) ("**Ocean carriers and marine terminal operators (and ocean transportation intermediaries) do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).**"); *see also* *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 FMC LEXIS 14, *32 (FMC Oct. 31, 2000) (the test for the Commission's jurisdiction is whether a Claimant's allegations "also involve elements peculiar to the Shipping Act"). (emphasis added)

⁷ Notably, Flexport only attached select agreements to its Answer. The Amended Complaint alleges many of the shipments moved under negotiated rate arrangements (NRAs), however no NRAs are included in the pleadings. While the terms these agreements do not impact Flexport's alleged Shipping Act violations, there remain numerous disputed facts surrounding the contractual relationships between the parties.

⁸ Flexport's tariff sets its rate and rules for detention and demurrage charges; the charges are not pass-thru charges.

Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. Ocean Carrier Equipment Management Association Inc., et. al, Dkt. No. 20-14, 2023 WL 1963455, at *21 (ALJ February 06, 2023) (citing *TCW, Inc., v. Evergreen Shipping Agency (Am.) Corp.*, Docket No. 1966(I), 2022 FMC LEXIS 589, at *6 (FMC Dec. 29, 2022)). When applying the limitation, the Commission has made clear that just because a common carrier is acting pursuant to authority granted by tariff or contract that does not mean a practice is *per se* reasonable. For example, in *TPG Pressure, Inc. v. Omni Logistics LLC and Epic Freight Solutions LLC*, a recent case alleging an NVOCC had violated section 41102(c) when it held unrelated containers for non-payment of detention and demurrage charges, the NVOCC claimed it was acting pursuant to lien authority included its tariff and therefore its practices were reasonable. Dkt. No. 22-31, 2024 WL 4226354, at *29 (ALJ Sept. 12, 2024). The ALJ disagreed, finding the NVOCC's practices violated the Shipping Act and that "tariff and terms and conditions do not make its actions reasonable." *Id.* Peloton has alleged Flexport's practices violated the Shipping Act; like the NVOCC in *TPG Pressure*, the terms of an agreement do not prevent Flexport's practices from being unreasonable and violating the Shipping Act.

"The Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act." *MCS Industries, Inc. v. COSCO*, Dkt. No. 21-05, 2022 WL 458569, at *6 (Feb. 4, 2022) (Order on Motion to Amend Complaint and Motion to Dismiss). Peloton has alleged violations of the Shipping Act, which requires the Commission to determine the reasonableness of Flexport's practices. Commission precedent is clear that the terms of individual tariffs and agreements cannot insulate a regulated entity from liability for Shipping Act violations. Because determining the reasonableness of Flexport's

practices requires relevant fact and expert discovery, Flexport’s Motion for Judgment should be denied.

II. Flexport’s Motion for Judgment is Repetitious of the Motion to Dismiss Which Was Already Denied.

As addressed more fully above, by denying Flexport’s Motion to Dismiss, the Presiding Officer confirmed that under the standard of review applied to motions to dismiss—i.e., all well-pleaded facts are accepted as true and all reasonable inferences drawn in the complainant’s favor—Peloton’s Amended Complaint should move forward. Commission precedent confirms that “the standard of review under [a motion to dismiss and motion for judgment on the pleadings] ‘is essentially the same.’” *Ovchinnikov v. Hitrinov*, Dkt. No. 15-11, 2023 WL 1963462, at *6 (FMC Feb. 8, 2023). With the Motion for Judgment, Flexport is for a second time asking the Presiding Officer to dismiss Peloton’s claims for essentially the same reasons that were originally denied. Under the same standard of review, where an argument did not succeed on a motion to dismiss, it cannot now succeed on a motion for judgment on the pleadings.

This is not the first time the FMC has faced a respondent seeking a second shot at dismissing the complaint against it. In one recent case, the complainant requested leave to amend its complaint after the respondent filed a motion to dismiss; the motion to dismiss was subsequently denied as moot. *See ILA v. Gateway, International Longshoremen’s Association v. Gateway Terminals, LLC et al.*, Dkt. No. 22-12, 2022 WL 16923689 (ALJ Nov. 7, 2022) (Order on Partial Motion to Dismiss the First Amended Complaint and Motion to Strike Prayer for Reparations, and Motion for Leave to File Amicus Curiae). After the amended complaint was filed, the respondent filed a partial motion to dismiss where it raised several of the same arguments made in the original motion to dismiss. *Id.* In denying the partial motion to dismiss, the Presiding Officer found “[r]espondents essentially reiterate the same arguments. As found previously, whether there is

merit to Complainant's allegation [] is a determination that may become clearer after evidence is obtained from discovery. [The complaint] sufficiently pleads an allegation of a violation of the Shipping Act." *Id.* at 4.

In sum, Flexport's breach-of-contract, statute of limitations, and pleading sufficiency arguments rehash the same rejected arguments from its Motion to Dismiss. Respondent's Motion for Judgment should be denied both because it is repetitious and because, as the Presiding Officer has already determined, Peloton has sufficiently alleged that Flexport violated the Shipping Act.

CONCLUSION

For the foregoing reasons, Peloton respectfully requests that the Presiding Officer grant its Cross-Motion to Strike Flexport's Motion for Judgment. In the alternative, Peloton requests that Flexport's motion be denied.

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Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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